

DIGITALKART PRESENTS

THE FIRST CAR BUYER PLAYBOOK

India Festive 2026 Edition

Buy your first car this Navratri-Diwali season without overpaying a single rupee you didn't have to.

- **On-road price decoded**
Ex-showroom, GST 2.0, road tax, TCS and every fee on the invoice
- **September 2026 loan rates**
Real rate tables from 15+ lenders, processing fees, foreclosure traps
- **Insurance without overpaying**
3-year third party, IDV, NCB 20-50%, the add-ons worth your money
- **The dealer fee audit**
Statutory charges vs junk charges consumer courts have struck down
- **EV decision math**
State road-tax exemptions, 5% GST, running cost per km compared
- **Delivery-day PDI**
A 20-point inspection, documents checklist and registration walkthrough

Festive Edition 2026 | digitalkartai.shop

Every rate, rule and scheme in this guide is verified from official sources as of late September 2026.

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A promise before you turn the page

Every number in this playbook - GST rates, loan rates, insurance rules, TCS, EV incentives, festive market data - was verified in late September 2026 from official sources: the GST Council's press releases, IRDAI's policyholder handbook, the Income Tax Department's TCS pages, the PM E-DRIVE scheme portal, Bharat NCAP and FADA/SIAM industry data. Where a number moves (loan rates, state EV policies), this book tells you it moves and how to re-check it before you sign. Nothing here is guesswork, and nothing here is paid placement.

SECTION 1 | THREE RULES BEFORE YOU VISIT ANY SHOWROOM

Read This First

A first car in India is usually the second-largest purchase of a person's life, and it is the one purchase where the seller has an information advantage at every step: the invoice, the loan, the insurance, the accessories, the exchange value. This playbook exists to flip that advantage to you. It is written for someone buying a new car in India during the 2026 festive season - roughly Navratri on 11 October through Diwali on 10 November - which is when roughly a third of India's annual car sales happen.

You can read it cover to cover before your first showroom visit, or jump straight to the section you need. The order follows the actual sequence of a purchase: understand the market, set the real budget, choose the car, arrange the money, buy the insurance, close the deal, inspect the delivery, protect yourself afterwards.

Three rules run through everything in this book:

- **Never negotiate on the EMI.** Dealers quote a monthly figure because it hides the price of the car, the interest rate and the insurance commission at once. Always negotiate the ex-showroom price, then the on-road price, then the loan rate - as three separate conversations.
- **Every rupee leaves a paper trail.** Booking amounts, exchange valuations, promised freebies and delivery dates go in writing, on the invoice or the booking form. Verbal promises at a festive sales event are worth exactly nothing.
- **The on-road price is the only price.** A Rs. 2,000 difference in ex-showroom price between two cars can become Rs. 3,500 after GST and road tax. Compare cars on what leaves your bank account, never on the billboard figure.

One more thing, specific to this year: India's car taxation changed fundamentally on 22 September 2025, when the GST 2.0 reform replaced the old 28%-plus-cess structure with an 18% rate for small cars, 40% for everything bigger and a retained 5% for electric cars. Prices are still settling, festive discounts are running between Rs. 50,000 and Rs. 3 lakh across models, and dealer inventory is unusually high - all of which means a prepared buyer in October-November 2026 is walking into one of the best negotiating windows in years. The rest of this book is how you use it.

SECTION 2 | WHAT THE NUMBERS MEAN FOR YOUR NEGOTIATION

The 2026 Festive Market, Decoded

The single most useful fact about this festive season: **dealers are carrying more stock than they want, on most brands.** The Federation of Automobile Dealers Associations (FADA) reported passenger-vehicle dealer inventory at 38-40 days at the end of August 2026 - nearly double its recommended 21-day level - after wholesale dispatches (439,309 units in August, up 36.5% YoY) ran far ahead of retail registrations (402,398 units, up 16.1%). A dealer sitting on five-plus weeks of unsold cars has a sales target problem that you, the buyer, get to solve at a discount.

The demand side is strong too, which cuts both ways. September 2026 vehicle registrations were up about 45% year-on-year - the best September in at least five years - and August 2026 was the first August ever in which passenger-vehicle retail crossed the 4-lakh mark. But the strength is uneven

across brands, and that is where your leverage lives.

Signal	What the data says (Sept-Oct 2026)	What it means for you
Dealer inventory (most brands)	38-40 days of PV stock vs 21-day healthy level; ~56% of dealers report high inventory	Real room to negotiate on price and freebies; dealers must clear stock before Diwali
Maruti Suzuki stock	Only ~16 days of network inventory; 200,000+ pending bookings; 60,000+ bookings for Victoris alone	Expect thinner discounts on Maruti - shift your energy to insurance and accessory negotiations
Festive offers	Discounts of Rs. 50,000 to Rs. 3 lakh across models, though limited vs last year	Ask each dealer for the offer in writing and compare like with like (see Section 9)
Festive window	Navratri 11 Oct to Diwali 10 Nov - about a third of annual car sales happen here	Best retail leverage is late in the window when monthly targets press on dealers
Buyer preference	About 72% of Mahindra's sales come from top variants	Mid variants of popular models can be discounted harder - dealers need to move them

Two timing notes. First, the festive calendar is spread out this year - Ganesh Chaturthi and Onam have already passed, and Navratri (11 October), Dussehra (20 October) and Diwali (10 November) are staggered. Deliveries peak around the auspicious dates, so if you want your car on a Dussehra or Diwali date, book at least two to three weeks early; if you only care about the price, the last week of the window - when sales managers are chasing monthly and festive targets - is where the deepest concessions usually appear. Second, with Maruti's production constraints, some popular variants carry waiting periods of weeks; ask for the exact waiting period in writing before you pay a booking amount.

The one-line summary of this section

Most brands entered this festive season overstocked and discounting; Maruti entered it understocked and booked. Maruti buyers should negotiate hard on insurance, accessories and exchange value instead of on the car's price - the same total savings, different route.

Buy in October, or wait for the year-end?

The honest version: the festive discount and the year-end discount are usually the same money arriving by different routes. Festive offers come as cash discounts, free insurance and accessory bundles; December offers come as discounts on the outgoing model year's stock. If your chosen car is selling well and the dealer is stocked thin (Maruti's popular variants, several new launches), waiting buys you little except a December registration - which shaves resale value when you sell, because buyers price a car by its registration year. If the car is slow-moving and the dealer is overstocked, a deeper cut may appear in the last week of December - but you then buy a car that is effectively a year older on paper the day you drive it out. For most first-time buyers, the festive window with its manufacturer-backed exchange and finance subventions is the better total deal; the year-end route only wins when you plan to keep the car seven-plus years and resale timing barely matters.

Waiting periods: reading them, and working them

This season, waiting periods are unusually lopsided. Maruti entered the festive stretch with more than 200,000 pending bookings and only about 16 days of network stock - its popular models and CNG variants can carry multi-week waits - while other brands sit on 38-40 days of inventory and can deliver almost immediately. The buyer's playbook: ask for the waiting period in writing for your exact variant and colour before paying the booking amount, and ask what happens to the price if the manufacturer raises it before delivery (the usual answer - the higher price applies unless your booking form locks it, which is exactly why Section 9 insists on written price terms). A variant in stock at one dealer and eight weeks out at another is a direct input into your three-quote comparison. And if a festive-date delivery matters to your family, book three weeks early this season - the staggered calendar means Dussehra (20 October) and Diwali (10 November) deliveries are both in play.

Five festive myths, checked against the data

Myth	Reality
'Festive offers are the year's best prices'	They are among the best, and they are real - but the same money often returns in December on outgoing-year stock. What makes festive genuinely better is the manufacturer-backed finance and exchange subvention stacked on top of dealer discount.
'Book today or lose the offer'	Offers refresh weekly through the season and typically peak in the last week before Diwali as targets press. Urgency is the showroom's tool, not yours.
'December-registered cars lose heavily at resale'	True enough that it matters: buyers and platforms price by registration year, so a November 2026 car reads a year newer than a January 2027-era December 2026 car at resale time.
'A discount means the car is troubled'	Discounts track inventory and targets, not quality. An overstocked best-seller discounts; a booked-out hit doesn't. Judge the car on its Bharat NCAP rating and your test drive, not its offer.
'Free accessories are free money'	They cost the dealer the wholesale price - typically 30-40 paise per rupee of claimed value. A Rs. 20,000 accessory pack is worth roughly Rs. 7,000; ask for the cash instead.

SECTION 3 | ON-ROAD PRICE ANATOMY, TCS AND THE FIVE-YEAR MATH

What Your Car Really Costs

The sticker price on the website is the ex-showroom price. It is not what you pay. Here is every component that stands between that number and your bank account, in the order it appears on a typical invoice:

Component	What it is	Rough size
Ex-showroom price	The manufacturer's price, inclusive of GST and any cess. This is the base for almost everything below.	The advertised number
Road tax / MV tax	State levy on the ex-showroom price, one-time for the car's life in most states. Kerala runs 10-22% (top slab applies above Rs. 20 lakh); Karnataka runs 13-18% plus an 11% cess on the tax amount.	6-22% of ex-showroom, by state
Registration fee	State RTO fee for the Registration Certificate and number plate; a few hundred rupees, more with a fancy number.	Rs. 600 - Rs. 5,000+

Component	What it is	Rough size
Insurance (year 1)	3-year third-party cover (mandatory, IRDAI-fixed rates) plus 1-year own-damage; bought from the dealer or directly. See Section 8.	Rs. 15,000 - Rs. 60,000+
FASTag	Electronic toll tag, now effectively compulsory for toll payments.	About Rs. 500 - Rs. 600
TCS (Section 206C(1F))	1% tax collected at source by the dealer on the full sale consideration if the car's value exceeds Rs. 10 lakh. Not an extra cost - it appears in Form 26AS and you claim it back as credit when you file your income-tax return.	1% if value > Rs. 10 lakh
Accessories & kits	Floor mats, coating, alloy wheels and the dealer's 'essential kit'. Fully negotiable, often pure margin.	Rs. 0 - Rs. 50,000 (your choice)
Handling / logistics charges	Not a statutory charge at all. Consumer commissions have repeatedly ruled these have no legal basis (see Section 9). Refuse them.	Rs. 5,000 - Rs. 30,000 (refuse)

A worked example makes it concrete. Take a compact SUV with an ex-showroom price of Rs. 10.0 lakh, bought in a mid-tax state at 12% road tax: road tax adds Rs. 1.2 lakh; registration, HSRP and FASTag add roughly Rs. 3,000; first-year insurance (3-year third-party plus a solid own-damage policy) adds about Rs. 32,000. The on-road price lands near Rs. 11.55 lakh - about 15.5% above the number the website showed you. Because the car is above Rs. 10 lakh in value, the dealer also collects 1% TCS - roughly Rs. 11,600 - which you recover at tax-filing time.

The EMI mathematics nobody shows you

Interest is quoted as a headline, but what you actually feel is the total money out the door. The table below shows the monthly EMI and total interest for a Rs. 8 lakh loan at 9% - roughly today's mid-market rate - across common tenures:

Tenure	EMI (Rs.)	Total interest (Rs.)	Total repaid (Rs.)
3 years	25,440	115,840	915,840
4 years	19,908	155,600	955,600
5 years	16,607	196,400	996,400
7 years	12,871	281,100	1,081,100

Every extra year of tenure makes the month cheaper and the car more expensive. Stretching a five-year loan to seven saves you about Rs. 3,700 a month but costs about Rs. 85,000 more in interest - and it delays the day the car is truly yours, which matters because a car depreciates fastest in years one to three. A sound rule from financial planners: keep total car EMIs under 10-15% of your take-home pay, keep the tenure at five years or less, and if the EMI only works at seven years, the honest answer is a cheaper car.

How much to put down: the down-payment decision

Lenders typically finance 80-90% of the on-road price; the rest is your down payment. The temptation is the minimum, but every rupee you don't put down is a rupee borrowing at 8-10% for five years. The compounding case for a bigger down payment is even stronger than the raw interest arithmetic: a 20%+ down payment keeps the loan below the car's early depreciation curve, so you're never 'underwater' - owing more than the car is worth - which protects you if the car is totalled or you must sell in an emergency. A practical middle path many planners suggest: 20-25% down, five-year tenure, and any festive cash discount applied to the down payment rather than absorbed into a lower EMI. And skip dipping the emergency fund for a bigger down payment - a car never justifies an empty safety net.

TCS on cars above Rs. 10 lakh: how to get your money back

If your car's value crosses Rs. 10 lakh, the dealer collects 1% of the sale consideration as Tax Collected at Source under Section 206C(1F) of the Income-tax Act - on a Rs. 12 lakh car, that is Rs. 12,000 collected and shown on your invoice. It feels like a fee; it is not. The amount appears in your Form 26AS/AIS against the dealer's TAN, and when you file your return it offsets your total tax liability like TDS from a salary does. Three practical notes: the 1% applies irrespective of how you pay (cash, cheque or loan); it applies per car, not to your annual aggregate; and if you have no taxable income at all (below the filing threshold), you can still recover it by filing a return claiming the refund. If the dealer forgets to reflect it on the invoice, remind them - the obligation to collect is theirs.

The five-year cost of ownership - the number that should drive your budget

A car's cost is purchase plus running plus depreciation. For a typical Rs. 12 lakh on-road petrol compact SUV doing 10,000 km a year, a realistic five-year picture looks like this: fuel about Rs. 4.2 lakh (15 km/l at your city's petrol price); insurance about Rs. 1.2-1.5 lakh over five renewals (growing if you claim, shrinking up to 50% with No Claim Bonus if you don't); scheduled service about Rs. 60,000-75,000; new tyres around year five about Rs. 30,000. Add the interest on your loan, and then subtract the single largest negative number: depreciation. A five-year-old mass-market car typically retains only 40-50% of its original on-road price. The point of the exercise is not precision - it is that a car costing Rs. 12 lakh on the road will consume about Rs. 20-22 lakh over five years all-in. Buy the car that fits that number, not the one that fits the EMI.

Budget guardrail

A widely used affordability check: the on-road price of your car should ideally be no more than 40-50% of your annual household income, the down payment should be at least 20% of the on-road price, and the loan tenure no more than 5 years. If any one of the three breaks, step down a segment - the running costs fall with it, not just the price.

The same car, three fuels: five-year running comparison

Same compact car, 10,000 km a year for five years (50,000 km), fuel at late-2026 prices, home charging for the EV. The purchase premiums are indicative of typical price gaps in the mass market:

	Petrol	CNG	Electric (home charged)
Purchase premium vs petrol	Baseline	+Rs. 80,000 approx.	+Rs. 2.5-3 lakh approx.

	Petrol	CNG	Electric (home charged)
Fuel/energy for 50,000 km	Rs. 3.5 lakh	Rs. 1.4 lakh	Rs. 65,000
Scheduled service, 5 years	Rs. 65,000 approx.	Rs. 75,000 approx.	Rs. 35,000 approx.
Five-year running total	Rs. 4.15 lakh	Rs. 2.15 lakh + premium	Rs. 1.0 lakh + premium
Verdict	Baseline	Saves about Rs. 1.2 lakh over 5 years	Roughly even by year 5; wins clearly at 15-20k km/yr

Read the pattern: CNG pays back fastest for city running, the EV's arithmetic improves steeply with distance and stays home-charged, and petrol wins on simplicity when annual running is modest. This is the table to revisit after your needs audit in Section 5 fills in your actual annual kilometres.

SECTION 4 | 18% VS 40% VS 5% - AND WHY IT RESHAPES YOUR SHORTLIST

GST 2.0: The Reform That Moved Car Prices

On 22 September 2025, India's GST Council replaced the old automobile tax structure - 28% GST plus a compensation cess of 1-22% - with clean two-slab rates. It is the biggest change to car pricing in a decade, and it directly changes which car is the smart buy for you:

Vehicle	Old effective rate	New GST 2.0 rate	Examples
Small cars (petrol/CNG/LPG up to 1,200 cc, or diesel up to 1,500 cc, length up to 4 m)	28% + 1-3% cess	18%	Alto K10, Dzire, Punch, Nexon, Baleno, Grand i10, Fronx
Mid-size and large cars (above 1,500 cc or longer than 4 m)	28% + up to 22% cess (45-50% total)	40%, no cess	C-segment sedans, premium hatchbacks, large SUVs
Utility vehicles (SUV/MUV/MPV/XUV above 1,500 cc, over 4 m, ground clearance 170 mm+)	28% + up to 22% cess (43-50% total)	40%, no cess	Creta, Scorpio, Thar, Innova
Electric cars	5%	5% (retained)	All battery electric cars
Motorcycles up to 350 cc	28% + cess	18%	Most commuter and mid bikes
Motorcycles above 350 cc	28% + cess	40%	Large displacement bikes
Auto parts (all)	12 / 18 / 28% by item	Uniform 18%	Cheaper servicing and body parts

Two consequences matter for a first-time buyer. First, the sub-4-metre car became the unambiguous value champion: a whole percentage-point-plus tax cut on exactly the segment a first car usually lives in, which is why GST 2.0 revived entry-level demand this year. Second, for bigger cars the reform mostly simplified rather than cheapened - 40% without cess versus an effective 43-50% before - so the SUV you had your eye on may be only modestly cheaper. If your shortlist straddles the boundary (a sub-4-metre compact SUV versus a proper 4.3 m SUV), the tax gap now does some of the deciding for you.

One clarification that trips people up: the GST is already inside the ex-showroom price. You do not pay GST separately at the counter, and you cannot avoid it. What you can control is road tax (state-dependent, fixed by law) and everything else on the invoice - which is the subject of Section 9.

The EV anomaly worth knowing

Electric cars stayed at 5% GST while small petrol cars fell to 18% - so the tax gap between an EV and a comparable small petrol car narrowed to 13 points. EVs also skip most state road taxes (Section 6). Whether an EV saves you money overall is now a running-cost question more than a tax question - the full math is in Section 6.

What the reform did to the market you're shopping in

The rate cut revived the entry segment. Maruti Suzuki's sales grew about 35% in this financial year up to August, against roughly 30% industry growth between April and August, and market analysts specifically credit GST-led price corrections with reviving interest in small and entry cars - the segment MSIL and Tata serve. For you, the practical read is this: the sub-4-metre segment is competitively hot right now, which is where festive discounts and inventory pressure are most likely to overlap. If you are flexible between a hatchback and a compact SUV, the hatchback/compact-SUV boundary at 4 metres is where the tax system is actively subsidising your choice.

The second quiet gift of GST 2.0 is at the service counter: auto parts moved to a uniform 18% GST across the board, replacing a mix of 12%, 18% and 28% by item. Parts pricing has simplified, longstanding classification disputes have eased, and over a five-year ownership cycle that shows up as marginally saner repair bills and insurance-claim parts costs. It is not a reason to buy a car, but it is a reason to expect your post-warranty years to be a little cheaper than they were for the previous generation of owners.

SECTION 5 | NEEDS AUDIT, RUNNING COSTS AND SAFETY YOU CAN VERIFY

Choosing the Right Car

Before a single test drive, run a five-minute needs audit. Answer honestly, in writing: How many people ride daily? Is the daily run under 40 km or over 60? Do you have covered parking and a charging point at home (for EVs)? City traffic or highway? Will you keep the car for 6-8 years or trade at 3? Every car on your shortlist should win or lose against these answers, not against what the salesperson's footwell feels like on a 2 km demo loop.

Fuel type: what a kilometre actually costs

Fuel choice is the biggest recurring cost decision. Approximate running costs per km, at late-2026 prices and typical efficiency, for a compact car:

Fuel	Efficiency / energy use	Approx. cost per km	Notes
Petrol	14-16 km/l	Rs. 6.5 - 7.5	Cheapest to buy; widest choice; best for low daily running
Diesel	18-21 km/l	Rs. 5.0 - 6.0	Now limited to bigger cars; pays off only above ~2,000 km/month
CNG	28-32 km/kg	Rs. 2.5 - 3.0	Saves ~50-60% vs petrol; boot space lost; queue at stations
Electric	6-8 units per 100 km	Rs. 1.0 - 1.6 (home charging)	Highest purchase price; needs home charging to make sense

A useful frame: at 10,000 km a year, the gap between petrol and CNG is roughly Rs. 35,000-45,000 a year; between petrol and electric, Rs. 50,000-60,000. Those differences close the purchase-price

premium over a few years - but only if your daily distance is steady and, for EVs, you can charge at home at domestic rates. Public fast charging can cost 3-4 times home charging and erases most of the advantage.

Safety: check the stars, not the sales pitch

India now has its own crash-test programme. Bharat NCAP, run under the Ministry of Road Transport and Highways since October 2023, tests cars voluntarily submitted by manufacturers - frontal offset impact at 64 km/h, side impact at 50 km/h - and publishes star ratings for adult occupant protection, child occupant protection and safety assist technologies. Ratings for dozens of current models, from the Tata Harrier.EV to the Maruti Victoris, are public at bncap.in, and several current cars - the Mahindra XEV 9e, Mahindra BE 6, Tata Harrier.EV among them - hold perfect adult-protection scores. Before you shortlist a car, look its rating up. A difference of one or two stars is a difference you may one day feel.

Non-negotiables for a 2026 purchase, whatever the segment: at least two airbags (six is the sensible target now that they've spread to mass-market cars), ABS with EBD, electronic stability programme, rear parking sensors, ISOFIX child-seat anchors and a seat-belt reminder. If a variant you're considering skips these to hit a price point, that's the variant to skip.

Variant strategy: where the value actually sits

The base variant exists to advertise a low price; the top variant exists to upsell. The value usually sits one or two rungs up from base - where safety equipment and essentials like Android Auto/Apple CarPlay arrive - and well below the top, where sunroofs, premium audio and ventilated seats live. Note that dealers push top variants hard (about 72% of Mahindra's sales are top variants, and the industry follows). When you test-drive, drive the variant you would actually buy, not the fully-loaded demo car, and compare equipment lists line by line before you decide the extra Rs. 1-1.5 lakh is worth it.

What's worth paying up for, and what isn't

Equipment	Worth it?	Reasoning
6 airbags + ESP over 2 airbags	Pay up	The difference is measurable in crash outcomes; Bharat NCAP scores often reflect the higher-airbag variant
Automatic (AMT/CVT/TC/DCT) in heavy traffic	Pay up if traffic is your daily life	Fatigue and clutch-wear savings are real; DCT/CVT cost more to service over time
Rear camera + sensors	Pay up	Standard fitment on most variants now; a genuine daily-use safety item
CNG kit (factory-fitted)	Pay up for high city running	Rs. 35,000-45,000 saved a year at 10,000 km; slower payback below 7,000 km
Sunroof	Skip	The most-paid-for least-used feature in Indian car ownership
Premium audio / large touchscreen	Skip	Aftermarket and phone ecosystems have made this a marginal pleasure
Ventilated seats	Maybe	Worth it in the northern summer if you drive daily; otherwise skip
Alloy wheels (over steel)	Maybe	Aesthetic plus marginally better dynamics; aftermarket fits cost less if you must

The resale question nobody asks at purchase

When you eventually sell, buyers pay for the model's reputation, the colour (white, silver and grey move fastest), the service record and the fuel type - not your sunroof. A mainstream brand, common colour, mid variant with full service history is the highest-resale configuration you can buy today.

The needs audit, as a worksheet

Fill this before your first showroom visit, in five minutes, on paper. The right car falls out of the answers; the wrong one gets eliminated before it can charm you in the flesh:

Question	Your answer (fill in)
People riding daily / typical weekend load	____ adults, ____ children
Daily running (km) and annual estimate	____ km/day = about ____ km/year
Home parking: covered? own power point? society consent likely?	Y / N each
Highway trips per year beyond 300 km	____ trips
Manual vs automatic preference after a traffic-day test drive	_____
How long will you keep it? (affects resale-weight vs running-cost-weight)	____ years
Budget ceiling from Section 3's guardrail (on-road price)	Rs. _____
Non-negotiable safety equipment (from the list above)	_____
Body type verdict (hatch / sedan / compact SUV / SUV / MPV)	_____
Fuel verdict from the five-year running table	Petrol / CNG / EV

The test drive: how to spend your 15 minutes

A demo car is chosen to flatter; your 15 minutes are for gathering evidence. Before you drive, set the seat and mirrors yourself - comfort over an hour's commute is a real verdict, and visibility all round is a safety feature you can't retrofit. On the drive, evaluate in this order: ride quality over the broken sections (your city's roads, not the smooth ring road the advisor prefers); cabin noise at 60-80 km/h (the single biggest daily-luxury difference between segments); air-conditioning pull in afternoon heat; clutch effort and gearshift smoothness in traffic; braking confidence with two passengers aboard; and steering weight in a U-turn and a parking manoeuvre. Back in the showroom, sit in the rear seat - the seat your family actually occupies - check boot space against a typical weekend load, and try installing a child seat if that's your life stage. Drive the same route in your second choice back to back; differences you can't articulate are differences you won't notice in a month, and differences you can are worth real money.

New, used, or certified pre-owned? The first-timer's real question

A 3-4 year old used car costs 40-50% less than new and has already absorbed its steepest depreciation - but for a first-time buyer it carries risks that are hard to judge without experience: hidden accident history, odometer tampering, lapsed warranty, and financing at higher used-car rates (commonly 3-8 percentage points above new-car rates). If you go this route, buy from a manufacturer certified pre-owned program or a large organised platform - paying a Rs. 30,000-50,000 premium over a random classifieds listing is cheaper than one engine rebuild - insist on the full service history, and get an independent inspection before paying. The certified-plus-independent-inspection combination is non-negotiable. For most first-time buyers, though, the new-car route with a festive discount, full warranty and single-digit interest remains the calmer choice; this book is written for that path.

SECTION 6 | THE HONEST MATH ON AN EV FIRST CAR IN 2026

The Electric Question

Start with what the government is and isn't giving you. The PM E-DRIVE scheme - the Rs. 10,900 crore successor to FAME-II - subsidises electric two-wheelers, three-wheelers, ambulances, trucks and buses. It does **not** subsidise private electric cars. If a showroom tells you there's a 'government subsidy' on your electric car, ask them to show you which scheme, in writing. What the Centre does give electric cars is a GST rate of 5% - versus 18% for a small petrol car and 40% for anything larger - and that is a substantial, permanent embedded advantage.

The bigger variable is your state. Road tax and registration fees on EVs are waived or slashed by most states, but the map changed through 2026, and two buyers in different states can pay very different on-road prices for the identical car:

State	EV road tax status (as of late 2026)	Note
Maharashtra	0% road tax + registration waived (policy to March 2030); toll-free on Mumbai-Pune Expressway, Samruddhi and Atal Setu	Among the strongest EV deals in India
Tamil Nadu	0% (extended to Dec 2027)	Covers transport and private EVs
Telangana / Andhra Pradesh	0% (to Dec 2026 / Dec 2029)	Confirm before booking
Delhi	0% for EVs priced up to Rs. 30 lakh, under the 2026-30 EV policy window	Confirm current notification at your RTO
Karnataka	Tiered from April 2026: 5% (up to Rs. 10L), 8% (Rs. 10-25L), 10% (above Rs. 25L)	Full exemption ended
Kerala	Tiered roughly 3-15% by price (revised June 2026)	No blanket exemption anymore
Uttar Pradesh	0% only for EVs made/assembled in UP (to Oct 2027); 8-10% otherwise	Most buyers pay standard tax
Madhya Pradesh	Exemption lapsed March 2026	Standard rates now apply
Gujarat	Earlier 1% scheme expired; new Green Mobility Policy 2026 reported to restore full waiver	Get written confirmation at the RTO

State policies change frequently - four states rewrote their EV tax rules in 2026 alone - so before you finalise, ask the dealer for the itemised on-road quote and verify the waiver line against your state transport department's current notification.

The break-even math, without the hype

Take a compact electric SUV at Rs. 14.5 lakh on-road versus a comparable petrol at Rs. 11.5 lakh, both doing 10,000 km a year. Home-charged at about Rs. 8-10 per unit, the EV consumes roughly Rs. 1.0-1.4 per km against petrol's Rs. 7 - saving about Rs. 55,000 a year. Service costs run lower (no oil, filters, exhaust) - call it Rs. 3,000-5,000 a year saved. That closes the Rs. 3 lakh gap in about five years - right around when many first-time buyers swap cars. Push the annual running to 20,000 km and the break-even drops to under three years. Drive 6,000 km a year without home charging and the EV is a lifestyle choice, not a financial one. Depreciation is the wildcard: EV resale values are improving as the market matures but remain less certain than petrol's, and battery health dominates the resale conversation.

The battery question, answered plainly

Most manufacturers warranty the high-voltage battery for 8 years or 1.6 lakh km (check your specific model's terms - a few run longer or shorter), and modern lithium-ion packs degrade gradually rather than failing suddenly. In normal use, expect some capacity loss over a decade of Indian-weather driving, not a cliff. The habits that matter: avoid parking for weeks at very low or very high charge, prefer charging to 80-90% for daily use where the car allows it, and don't make DC fast-charging the routine when home charging is available. Keep the service record - at resale, a battery health report is the EV's equivalent of a service book, and a well-documented pack is the single biggest value driver.

Practical prerequisites before an EV first car: a fixed, private parking spot with a power point (a home AC charger installation needs society/landlord consent), your city's fast-charging coverage for highway trips (charging infrastructure is expanding under the Rs. 2,000 crore PM E-DRIVE allocation, but check your actual routes), and comfort with planning long trips around 30-45 minute charging stops. If all three check out and your state waives road tax, an EV is a genuinely strong first car in 2026. If any fails, a CNG or small petrol car is the economically honest answer.

Setting up home charging: the part nobody explains

Almost every electric car sold in India charges with a portable charger from a normal 15A socket - slow (8-12 hours for a full charge) but perfectly adequate for overnight top-ups if your daily running is under 60-70 km. A wall-box AC charger (3.3-7.4 kW) roughly halves that and costs about Rs. 20,000-50,000 installed; several manufacturers include one free with the car during festive offers - ask, because it's a real line item to negotiate. The paperwork: your housing society's consent for installation (covered under guidance from the Ministry of Power for EV charging in residential complexes), a dedicated circuit from your meter if your existing wiring is old, and a load-sanction check with your DISCOM if you're adding a fast-ish charger. Electricity tariffs for home charging at domestic rates are what make the Rs. 1-1.4 per km figure real; public fast chargers charge roughly 3-4x that. Budget the charging installation into your on-road cost calculation, not after it, and confirm whether your state offers a separate EV domestic-tariff meter - some do, and it can cut charging costs further.

SECTION 7 | SEPTEMBER 2026 RATES, CIBIL TIERS AND THE TRAPS

Financing the Car

Car loan rates move month to month, but the spread between lenders is surprisingly wide - more than 5 percentage points separates the cheapest and priciest lender in the current market, which on a Rs.

8 lakh, five-year loan is a difference of over Rs. 1 lakh in total interest. Rates compiled by Paisabazaar and BankBazaar in mid-September 2026:

Lender	Starting rate p.a. (Sept 2026)	Processing fee
UCO Bank	7.35%	0.5% (max Rs. 5,000)
Canara Bank	7.45%	0.25% (Rs. 1,000-5,000); 50% waiver till end-Sept 2026
Bank of Maharashtra	7.45%	Up to 0.25%
Union Bank of India	7.50%	Up to Rs. 1,000
Central Bank of India	7.50%	NIL (till 31 Dec 2026)
Indian Overseas Bank	7.55%	NIL
Bank of Baroda / Bank of India / PNB	7.60%	Up to Rs. 2,000 / 0.25% capped low
IDBI Bank	7.75%	Rs. 2,500
HDFC Bank	8.15% onwards (rack rates from ~9%)	Up to 0.5% (Rs. 3,500-8,000)
ICICI Bank	8.40% onwards	Up to Rs. 8,500
State Bank of India	8.70-9.85% (fixed; CIBIL-tiered)	Rs. 500-2,000
Axis / Kotak / IDFC First	8.95% onwards	Up to Rs. 10,000

Treat the starting rate as an opening bid, not an offer. What you actually get depends on your credit score, income stability, employer category and whether you already bank with the lender. SBI's card rates make the mechanism explicit: with a CIC score of 800+ you pay about 8.90% on a 3-5 year loan, while a score of 650-699 pays about 9.75% - roughly Rs. 4,000 more per lakh per year. Before you apply, pull your own credit report (free from each bureau once a year via the RBI-mandated channel) and fix errors first. A better rate negotiated before signing is worth more than any discount the dealer dangles after.

The five charges that make a cheap loan expensive

- **Processing fee:** 0-0.5% at PSU banks (often waived in festive campaigns) but 1%+ at some private banks and NBFCs. On Rs. 8 lakh, the difference is Rs. 5,000-8,000 upfront.
- **Foreclosure charges:** the sleeper trap. HDFC Bank, for instance, charges 6% of outstanding principal if you close within a year (5% in year two, 3% after) - while several PSU banks charge nothing on floating-rate loans, and SBI charges nothing after 24 months. If there's any chance you'll prepay or close early, this single clause can outweigh a 0.5% rate difference.
- **Fixed vs floating:** PSU banks' floating rates track the repo rate - they can fall (and rise); private banks' fixed rates give certainty at a premium. Compare like with like.
- **Insurance bundled into the loan:** credit-life or asset-protection add-ons pushed at signing. You can decline these; if you want them, buy them separately and compare.
- **The EMI bait:** 'Sir, only Rs. 16,000 per month' - achievable by stretching tenure to 7 years at a higher rate. You know better now: negotiate the rate and the tenure separately, then let the EMI fall out of the arithmetic (Section 3's table).

Dealer finance vs your bank: do both, then choose

Manufacturer-backed festive finance sometimes offers genuinely lower rates (subvented by the carmaker to move stock) - but often recovers the money through insurance, accessories or processing fees. Get your own bank's sanction first, then ask the dealer's financier to beat the whole package, not just the rate. Two competing sanctions in hand is the strongest negotiating position in this entire book.

What to have ready: the loan document file

Lenders sanction faster for organised files, and festive-season queues are real. Keep these ready digitally before you apply: PAN card; Aadhaar; the last three salary slips or two years' ITR with computation (self-employed); six months' bank statement of the salary/main account; address proof; employment proof (offer letter or ID card) for salaried applicants; and photographs. If a co-applicant (spouse/parent) strengthens your case, their documents follow the same list. A complete file typically sanctions in 24-72 hours at most banks.

Reading the sanction letter before you sign

The sanction letter is the loan's real contract of terms; the glossy EMI card is marketing. Check six lines on it: the **interest rate and whether it is fixed or floating**; the **processing fee** (and whether it was waived in writing); the **foreclosure and part-payment charges** - the sleeper trap from earlier in this section; the **loan-to-value ratio**, which tells you how much of the on-road price they actually financed versus what you believed; the **EMI start date and tenure**; and any **insurance or bundled products included** in the financed amount. Anything in the financed amount that you didn't choose costs you interest for years - ask for it to be removed before disbursement, not after.

If your credit score is the problem

A score below 700 will cost you a full percentage point or more, or get the application declined in favour of a co-applicant structure. Quick wins that move the needle in 2-6 months: pay down credit-card utilisation below 30% of the limit (the single fastest mover); don't apply for multiple loans in a short window (each hard enquiry dents the score); correct errors in your credit report through the bureau's dispute channel; and keep old, well-run credit lines open - closed-history length matters. If the purchase can wait a quarter for this, the rate saving on a five-year loan typically repays the patience several times over.

SECTION 8 | THE 3-YEAR RULE, NCB AND THE ADD-ON SHORTLIST

Insurance Without Overpaying

Since 2019, IRDAI rules require every new private car to carry third-party liability cover for three years, sold with the vehicle; own-damage cover (fire, theft, accident damage to your car) is annual and, importantly, you can buy it from any insurer - the dealer cannot force you to buy their policy, though they will try, because commission on insurance is one of their healthiest margins. You can also take a bundled 1-year comprehensive and renew annually after the first year - the structures differ slightly by insurer, so compare final premiums, not product names.

The six terms that decide everything

- **IDV (Insured Declared Value):** the maximum the insurer pays if the car is stolen or totalled - roughly the current market value of the car. A dealer-fiddled quote sometimes quietly lowers the IDV to cut the premium. Lower premium, smaller payout. Check it matches the car's value.

- **Third-party cover:** pays injuries/death and third-party property damage (up to Rs. 7.5 lakh) when you're at fault. Premiums are fixed by IRDAI - identical across insurers for your engine size - so nobody sells you a 'cheaper' third-party policy.
- **NCB (No Claim Bonus):** the reward for claim-free years - a 20% discount on your own-damage premium after one claim-free year, rising stepwise to 50% after five. It belongs to you, not the car: it survives changing insurers and transfers to your next car. But it dies if your policy lapses more than 90 days. Renew on time, every time.
- **Deductibles:** standard compulsory excess is Rs. 1,000 (engines up to 1,500 cc) or Rs. 2,000 (bigger). A voluntary deductible lowers your premium but increases what you pay per claim - sensible only if you genuinely won't claim small amounts.
- **Cashless network:** insurers settle directly with network garages. Before choosing a policy, check that your city's good garages and your brand's workshops are in that insurer's network.
- **GST:** 18% applies on motor premiums (health and life premiums were exempted under GST 2.0; motor was not), so the premium you're quoted plus 18% is the real number.

Add-ons: the shortlist worth considering

Add-on	Worth it?	Why
Zero depreciation	Yes, years 1-5	Without it, claims pay the depreciated value of parts; the deduction on plastic and metal parts is steep. The single most valuable add-on for a new car.
Engine protect	Yes, for flood cities	Covers hydrostatic lock and internal engine/consumables damage excluded from base policies. Mumbai/Chennai/Kerala buyers: strongly consider.
Return to invoice	Maybe	Pays the on-road price (incl. tax, registration) if the car is totalled or stolen in years 1-2, vs only IDV otherwise.
Roadside assistance	Maybe	Cheap and useful if you drive highways; check if your manufacturer already includes it free.
NCB protect	Maybe	Preserves your bonus after one claim - worth it once your NCB reaches 25%+.
Key replacement, tyre secure, consumables	Situational	Pricey for what they cover; take only if the quote is trivial.

The dealer-insurance decision, compressed

Get a quote from the dealer (they arrange the mandatory 3-year third-party anyway) and a parallel quote from two direct insurers on the same IDV and add-on set. If the difference exceeds Rs. 2,000-3,000, buy own-damage direct and tell the dealer to show only the statutory charges on the invoice. You are free to do this, and quoting regulations back you up.

Zero-depreciation, in one worked example

Say your two-year-old car needs Rs. 30,000 of accident repairs: a bumper (plastic), a metal fender and a headlamp assembly. Without zero-depreciation cover, the insurer applies the standard depreciation schedule to each replaced part before paying - plastic components carry the steepest deduction, metal a smaller one - and after the compulsory deductible you might receive Rs. 19,000-21,000, leaving Rs. 9,000-11,000 from your pocket. With zero-depreciation, the depreciation deductions on replaced parts are waived, and the payout after the deductible lands close to Rs. 28,000-29,000. On a car you plan to keep five-plus years, one moderate claim usually recovers several years of the add-on's premium - which is why it tops the shortlist. Two fine-print notes: most insurers cap the number of zero-dep claims per year, and the add-on typically applies only for the first 5-7 years of the car's life (insurer-specific), after which it drops off at renewal.

Moving your NCB to your next car

The No Claim Bonus follows the owner, not the vehicle. When you sell your car, retain proof of the sale and extract an NCB retention certificate or the renewal notice from your insurer before the policy transfers to the buyer - the bonus stays with you for up to three years and applies to your next car's own-damage premium. Surrendering the policy along with the car gifts the new owner your bonus and quietly discards what may be a 25-50% discount you spent years earning. It is the most commonly abandoned entitlement in Indian car ownership, and it takes one letter to keep.

When you need to claim: the sequence

- 1 At the accident spot: note the other vehicle's number, photograph positions, damage and surroundings, and move the car only if it obstructs traffic. For third-party injury or major damage, call the police and file the FIR as required.
- 2 Inform your insurer within 24-48 hours on the app or helpline - late intimation is the classic reason small claims get questioned.
- 3 Choose a cashless network garage; the surveyor inspects before repairs begin. Never repair before the survey.
- 4 Keep the repair estimate, bills, FIR copy (if any) and photographs; for total-loss or theft claims you will also need the RC, keys and a non-trace certificate from police.
- 5 Insurers are mandated to settle or repudiate cashless claims within defined timelines - if a claim stalls beyond a reasonable window, escalate to the insurer's grievance officer, then the insurance ombudsman, which is free and binding on the insurer up to specified limits.

SECTION 9 | QUOTES, THE FEE AUDIT AND DECODING FESTIVE OFFERS

The Dealership Game

Everything in a car deal is negotiable, and the festive season - when a dealer's monthly target, the manufacturer's quarterly incentive and the showroom's annual bonus all converge - is the best time of the year to negotiate. This section is the playbook for it.

Step one: three quotes, same specification

Shortlist the car and exact variant, then collect written on-road quotes from at least three dealers of the same brand (different brands if you're still comparing) - including dealers in a neighbouring city, which often discount differently. Ask each for the breakup: ex-showroom, road tax, registration, insurance (with IDV), and every other line item. Quote the best offer to the others and ask them to beat it. This one habit - three competing quotes in writing - routinely saves Rs. 10,000-40,000, more than most people negotiate on the car itself.

Step two: the fee audit

Your invoice has two kinds of charges: statutory and everything else. Statutory: road tax, registration/HSRP, the mandated 3-year third-party insurance and - only if the car's value exceeds Rs. 10 lakh - 1% TCS. Everything else is margin wearing a uniform. Consumer courts have repeatedly ruled on the most common one: 'handling', 'logistics' or 'incidental' charges have no statutory basis. The Chandigarh State Consumer Commission ordered a Dada Motors to refund logistics charges with 12% interest; the Ernakulam forum ordered a BMW dealer to refund Rs. 28,000 of 'handling expenses' plus compensation. Manufacturers themselves disown these charges. Ask for each non-statutory charge to be removed; if the dealer insists, ask on what legal basis.

Invoice line	Legit?	Your move
Road tax / MV tax	Statutory	Verify the percentage against your state transport department's published slab
Registration, HSRP, number plate	Statutory	Small amounts; pay only actuals
3-yr third party insurance	Statutory (IRDAI)	Premium is regulated - identical across insurers
Own-damage insurance	Optional cover, but insurable anywhere	Compare against direct quotes (Section 8)
TCS 1% (car above Rs. 10 lakh)	Statutory	Not a cost - claim it back in your ITR via Form 26AS
FASTag	Actual cost	Fine; ~Rs. 500
Handling / logistics / incidental charges	No legal basis - struck down by consumer commissions	Refuse. Cite the rulings if needed
Essential kit / basic accessories pack	Dealer margin	Refuse or price the items online and counter-offer
Extended warranty at inflated price	Optional	Buy it, but at the standard published price, not the showroom mark-up

Step three: decode the festive offer

A festive offer is a bundle of cash discount, exchange bonus, corporate discount, loyalty bonus, free accessories and subvented finance - and its pieces are not equal. Rank them: cash discount is worth 100 paise on the rupee; exchange bonus only helps if you were exchanging anyway (it's usually your old car's value with makeup on); free accessories are worth the wholesale price, maybe 30-40 paise on the rupee; free insurance is worth exactly the premium you'd have paid elsewhere. Ask for the offer to be restated as a single rupee figure off the on-road price, and negotiate the lowest EMI-free price first, before mentioning any exchange. Disclose the exchange car only after the new car's price is fixed - otherwise the bonus quietly appears in your old car's lower valuation.

Accessories: buy at delivery, or later and cheaper?

The delivery-day accessory pitch is the season's easiest up-sell. The disciplined rule: safety and legal items first (nothing is legally mandatory beyond HSRP/FASTag, but quality floor mats, sun-film that meets visibility norms if you must, and a dashcam are common-sense buys); cosmetic packages last, and usually never. What the showroom quotes for a 'care package' or ceramic coating is commonly available outside at a fraction - the same product bracket as the handling-charge trick, margin wearing a uniform. If you do buy accessories from the dealer, get them itemised on the invoice with brand names and warranty terms, not one blurred 'kit' line - unbranded accessories with no warranty are exactly what that line usually delivers. And remember the festive-offer math from earlier: a Rs. 20,000 accessory bundle costs the dealer roughly Rs. 7,000, so a cash-equivalent counter-offer is a trade the sales manager can still happily accept.

The tactics you will face, and the counter-move

The tactic	The counter-move
Quoting only the EMI ('sir, only Rs. 14,999 per month')	Ask for the ex-showroom price, the rate and the tenure separately; do the multiplication in front of them, from Section 3.
'This is the last car at this price / offer ends today'	Offers refresh weekly through the festive season; your willingness to leave is your strongest card, and it only works if you actually use it.
Bundling insurance, accessories and extended warranty into one opaque on-road figure	Ask for the itemised quote; strike or re-price each line using Sections 8 and 9.
Valuing your exchange car generously while quietly removing the discount	Fix the new car's price first, then bring out the platform valuations.
'Zero down payment' festive finance	Nothing is zero - the down payment is financed into the loan, and you pay interest on it. Take it only if the cash genuinely earns more elsewhere, and know you start the loan underwater versus the car's value.
Fast-talking through the fee lines ('standard charges, everyone pays')	The fee audit: statutory list is short; everything else must justify itself or disappear.
The 'corporate discount' that needs your employer's name, then vanishes	Corporate discounts are real for listed employers - ask for the eligible list in writing and the amount on the invoice.
Pressuring a booking amount 'to lock the Navratri offer'	Written refund terms on the booking form, always; payment only to the dealership account.

Step four: protect the booking

The booking amount is refundable by default unless you signed something that says otherwise - and dealers' festive forms sometimes do say otherwise. Before paying: get the variant, colour, on-road price, delivery date, refund terms and every promised freebie written on the booking form with a signature and stamp. Pay by cheque or UPI to the dealership's account (never an individual), and never let urgency - 'sir, Navratri delivery will close' - rush a signature. A delivery promised for an auspicious date that slips is the festive season's most common complaint; the written delivery date is your leverage for compensation or cancellation.

Scripts that work, in plain words

- Opening: 'I'm buying this exact variant this month. Give me your best on-road price in writing, and I'll take it to two other dealers this week and buy from whoever wins.'

- On fees: 'Show me which of these charges are statutory. Handling and logistics charges have been held to have no legal basis by consumer commissions - remove them and we proceed.'
- On the offer: 'Restate the festive offer as a single rupee figure off the on-road price. Cash discount is worth full value to me; accessories are not.'
- On insurance: 'Quote the insurance with the IDV written down. I have direct quotes on the same cover - match them or I'll buy own-damage myself.'
- On finance: 'My bank has sanctioned at X%. Beat the full package - rate plus fees plus zero forced insurance - or I sign with them today.'
- On the exchange (only after price is fixed): 'Now the exchange. I have offers from two used-car platforms - here are the screenshots. Beat them or I'll sell it myself.'
- Closing, if needed: 'I understand targets close on the 30th. If my number is met today, I pay the booking amount now; otherwise I'll check back next week.' - then be genuinely willing to leave. Walking power is the only leverage that cannot be argued with.

The exchange, decoded

An exchange bonus is marketing; the net valuation is what matters. Dealers quote the exchange bonus and your old car's price together precisely so you can't see which number moved. The defence is external reference: get your old car valued on two large used-car platforms (free, takes an hour) and bring the screenshots. Sequence matters - fix the new car's price before revealing the exchange, then ask the dealer to beat the platform offers net of the exchange bonus. Check the paperwork the dealer gives you for the old car (delivery note, RC transfer acknowledgement) and, importantly, verify within a few weeks that the RC actually transferred out of your name - until it does, tolls, challans and even criminal liability for the vehicle remain your problem. Insurance on the old car: cancel or transfer it, and extract your NCB certificate as described in Section 8.

SECTION 10 | THE 20-POINT INSPECTION AND THE PAPERWORK

Delivery Day Done Right

Dealers deliver 5-10 cars a day; you buy one car in several years. Slow the day down. Take a family member, take this checklist, take two hours, and do the inspection in daylight - showroom lighting hides paint defects. The car should be inspected before registration where possible; once it's registered in your name, an undocumented pre-existing dent becomes your word against theirs.

The 20-point pre-delivery inspection

Area	What to check
Paperwork match	Chassis number and engine number on the car match the invoice and RC application exactly
Odometer	Under ~100 km is normal for stock transfer; more needs an explanation
Manufacture date	On the door-pillar sticker - within the last few months. A year-old car is old stock; demand a discount or fresher unit
Exterior paint	Walk the full circle in daylight - colour consistency panel to panel, swirls, chips, repainted panels (run fingers along edges)
Panels & glass	Even panel gaps; all glass identical, no cracks; lenses clear
Tyres	Same brand and size on all four, full tread, no cracks; spare + tools + jack present
Lights	Headlamps, high beam, fog lamps, indicators, brake, reverse, cabin, hazard - all functioning
Wipers & washers	Wipe clean, no judder; washers spray
Doors, bonnet, boot	Open, close, lock (incl. remote/boot release); keys (both sets) work
AC & climate	Cools within a few minutes; all vents, modes, heated/ventilated functions
Infotainment	Pairs with your phone, navigation, speakers each channel, steering controls, reverse camera guide lines
Electricals	Power windows, mirrors, seat adjustments, sunroof, interior lamps, horn
Instruments	No warning lights after startup (ABS/airbag/-engine); tyre pressure readings if fitted
Safety kit	Airbags listed on invoice are fitted; seat-belt reminders on every seat; ISOFIX anchors present
Toolkit & accessories	Everything the variant and invoice promise - mats, chargers, mats, cover
Under the bonnet	Fluid levels, no leaks, battery terminals tight, no rattles at idle
Test drive on delivery day	10-15 km: brakes straight and quiet, steering centered, no vibrations, clutch bite point, AC holding
Interior condition	Seats, plastics, headlining - no cuts, stains, loose trim; no cigarette smell (test-drive unit)
Cleanliness	Delivered cleaned; a dirty car says the dealer rushed
Documents received	Invoice, RC application receipt, insurance policy copies (3-yr TP + OD), PUC (where applicable), warranty booklet, road tax receipt, FASTag, owner's manual, all keys

Anything found gets written on the delivery note with a date and a commitment - never 'we'll fix it later, sir' as a verbal. Refuse delivery only for real defects (paint damage, mechanical faults); small fixes can be accepted with a written promise, but the note is what stands up later if the promise evaporates.

Where to physically find the critical numbers

- **Chassis number:** etched under the bonnet area and/or on the driver-side door-pillar sticker; cross-check against the invoice, character by character.
- **Engine number:** stamped on the engine block - ask the technician to point it out; it also appears on the temporary registration and invoice.
- **Manufacture date:** driver-side door-pillar sticker, as month/year - your old-stock detector.

- **Odometer:** digital cluster; photograph it before the keys are handed over.

What the dealer registers, and what you should verify

The dealer arranges temporary registration (valid up to a month) and permanent registration through the VAHAN system. After registration, verify the RC details on the Parivahan portal or mParivahan app: your name and address, chassis and engine numbers, fuel type, and - if the car is financed - the bank's hypothecation, which should disappear only after the loan closes (Section 11). The High Security Registration Plate is issued with the number. A fancy/VIP number costs extra via the state's e-auction - that's your call, not a dealer charge.

The registration sequence, in plain terms

- 1 The dealer raises a temporary registration (valid up to one month) so you can legally drive home on delivery day - it carries the TR number on the windscreen.
- 2 The dealer files the permanent registration application with the RTO - your documents (PAN/Aadhaar address proof, sale documents, insurance, road tax payment) ride along; this is why the document file from Section 7 gets reused here.
- 3 The RTO allots the number and issues the High Security Registration Plate; the plates are fitted on the car - refuse non-HSRP plates, they are the legal requirement.
- 4 The Registration Certificate typically follows in two to six weeks; the digital RC appears on the mParivahan app/Parivahan portal, and the physical copy may follow or remain on request depending on your state.
- 5 Your verification pass: every field on the RC - name, address, chassis, engine, fuel, class - plus the hypothecation entry if the car is financed. Errors are one-visit fixes now and multi-visit problems later.

SECTION 11 | HYPOTHECATION, WARRANTY AND KEEPING THE COSTS DOWN

After Delivery

Three jobs in the first month, and a rhythm after that:

- 1 **File your insurance correctly.** Store the policy PDFs (3-year third-party + own damage) with the claim helpline number. If you bought own-damage elsewhere, confirm the policy shows the right IDV and your car's registration number once the RC arrives.
- 2 **Break in the engine gently.** The first 1,000-1,500 km: no full-throttle sprints, no sustained highway speeds at one RPM, vary the revs. Follow the manufacturer's running-in advice in the manual - it measurably affects long-term engine health and your warranty standing.
- 3 **Check the RC when it arrives (usually 2-6 weeks).** Verify every field. Errors are easy now and painful later.

When the loan ends: hypothecation removal

Your RC shows the lender's name as hypothecatee. After the final EMI, collect the loan closure letter and Form 35 from the bank (increasingly digital), then submit them to the RTO/Parivahan to remove the hypothecation endorsement. Do it promptly - an uncleared hypothecation on the RC complicates resale years later. Likewise, if you close the loan early, the foreclosure charges you agreed to in Section 7 apply; the NOC itself should be free.

Warranty, extended warranty and service

Standard new-car warranties run 3 years/100,000 km for most mass brands (up to 7-8 years on some, and EV batteries carry separate 8-year class warranties - check your booklet). The extended warranty is usually worth buying for a car you'll keep past year four - but buy it at the standard published price, not showroom mark-up, and note it can often be purchased later, before the standard warranty expires, so don't let it be rushed into today's invoice. Service the car strictly per the manual's schedule at an authorised workshop while under warranty - missed scheduled services are the manufacturer's favourite reason to reject a claim. Keep every invoice; they're also worth money at resale. A PUC certificate is required from the first anniversary (as applicable in your state) - it's a five-minute, few-hundred-rupee formality, and driving without one is a fineable offence.

Running-cost discipline: the habits that actually pay

The cheapest car is a well-driven one. Tyre pressure checked monthly is the single most ignored economy - under-inflated tyres can cost a measurable slice of your fuel economy and wear out faster. Smooth inputs beat every fuel-saving gadget: gradual acceleration, anticipating traffic lights, and switching off at long signals (or letting the start-stop system do it). On the highway, the difference between 80 and 100-110 km/h shows up directly at the pump - aerodynamic drag climbs steeply - and it is also the difference in stopping distance that safety courses teach about. Use the manufacturer's specified fuel grade and oil, resist additive upsells at service, decline 'engine flushing' rituals that aren't in the manual, and keep the service schedule in the glovebox. None of this is exciting; over five years it quietly totals tens of thousands of rupees.

The renewal that pays for this book

At your first own-damage renewal, your No Claim Bonus starts at 20% off the OD premium - and compounds to 50% over five claim-free years. Set a renewal reminder 30 days before expiry (a lapse over 90 days kills the NCB), compare three insurers on the same IDV, and keep the add-on shortlist from Section 8 in hand. This single annual habit is worth Rs. 10,000-25,000 a year by year five.

Premium discounts that are yours for the asking

IRDAI's own policyholder guidance lists discounts that go unclaimed because buyers don't know to ask: an Automobile Association of India membership concession on the own-damage premium; a discount for ARAI-approved anti-theft devices fitted (with installation approved by the association); a voluntary-deductible concession if you agree to bear more of each claim; and concessional rates for specially modified vehicles for persons with disability, where the modification is endorsed on the RC. Ask for each at quote stage - they are standard, not favours, and a five-minute question is worth several thousand rupees a year.

SECTION 12 | YOUR RIGHTS AND HOW TO ESCALATE

If Something Goes Wrong

The Consumer Protection Act, 2019 covers defective vehicles, deficient service and unfair trade practices - and car buyers use it successfully. What the law gives you, in practice: a replacement or refund for a genuinely defective new car; compensation for delivery delays against a written commitment; refund of charges with no legal basis (the handling-charges rulings in Section 9 are exactly this); and protection against misleading festive claims. Complaints are filed with the District Consumer Commission (claims up to Rs. 50 lakh), with fees that are modest and no lawyer required.

- 1 **Complain in writing, first to the dealership** - email the dealer principal, not just the sales advisor, with photos, dates and the documents from Section 10. Give a clear, dated ask.
- 2 **Escalate to the manufacturer** - every brand runs a customer-care channel and a grievance matrix; tag the complaint number in all further correspondence.
- 3 **Then the consumer commission** - if 3-4 weeks of written follow-up fails, file on e-Daakhil with your booking form, invoice, inspection notes, correspondence and a plain statement of facts with dates.
- 4 **And in parallel, if needed** - the insurance ombudsman for claim disputes with your insurer (free), and the RBI's CMS portal for lending grievances.

The pattern in cases buyers win is always the same: documentation. The booking form, the written quotes, the delivery-note notations, the dated emails. Every one of them was created on a day when nothing had gone wrong yet - which is exactly why this book has been telling you, since Section 1, to put everything in writing.

A worked example of the system

Consider how the pieces fit together for a typical festive buyer. A first-time buyer shortlists a mid variant of a sub-4-metre SUV (18% GST, the Section 4 sweet spot), collects three written on-road quotes and plays them against each other for a Rs. 22,000 better price. The fee audit strikes Rs. 9,000 of 'logistics' and 'essential kit' charges with the consumer-commission precedent. A bank sanction at 8.1% competes with dealer finance at a headline 7.9% but Rs. 12,000 of fees - the bank wins on total cost. Own-damage insurance bought direct on the same IDV saves Rs. 4,500 over the dealer's quote. The exchange is disclosed only after the price is fixed, with two platform screenshots in hand, yielding Rs. 15,000 more than the first offer. None of these moves is heroic; together they are about Rs. 60,000-65,000 - roughly the price of this playbook's subject matter, recovered on the single largest purchase of the buyer's life so far, in the single most negotiable month of the year.

SECTION 13 | PRINT THESE PAGES AND TAKE THEM WITH YOU

The Toolkit

A. Budget worksheet

Line	Your number (fill in)
Monthly take-home (household)	Rs. _____
10-15% of take-home = comfortable EMI	Rs. _____
On-road price target ($\leq$ 40-50% of annual income)	Rs. _____
Down payment ($\geq$ 20% of on-road)	Rs. _____
Loan required / tenure ($\leq$ 5 years)	Rs. _____ / _____ years
Check: EMI at your quoted rate (Section 3's math)	Rs. _____
Annual running (km) and fuel type chosen	_____ km / _____
Estimated annual running cost (Section 5 table)	Rs. _____
Annual insurance renewal budget	Rs. _____

B. Negotiation checklist (dealership)

- Three written on-road quotes, same variant, in hand
- Best price quoted to all three dealers, each asked to beat it
- Fee audit done: every non-statutory line questioned; handling/logistics refused
- Festive offer restated as a single rupee figure off on-road price
- Exchange car disclosed only AFTER new-car price is fixed; valuation cross-checked
- Insurance compared against 2 direct quotes on same IDV and add-ons
- Loan sanctioned by your own bank before the dealer's financier is invited to compete
- Booking form carries: variant, colour, price, delivery date, refund terms, freebies - signed and stamped
- Payment to dealership account only; receipt for every rupee

C. Pre-delivery inspection

The full 20-point inspection is in Section 10 - the six that most often catch problems: odometer under 100 km; manufacture date within a few months; the full daylight paint circle; all warning lights off after startup; the chassis/engine match; and a real test drive with brakes, steering and AC under your own foot and hand. Photograph the odometer and the car from all four sides on delivery day, before you drive out.

D. Documents to leave the showroom with

- Invoice (with the final, audited fee lines)
- Booking form with price/delivery/refund terms
- Insurance policy copies: 3-year third party + 1-year own damage
- RC application receipt (and the RC, when it follows)
- Road tax receipt

- Warranty booklet + extended warranty receipt (if bought)
- Owner's manual, service booklet, both keys, toolkit, spare
- FASTag account details; delivery note with any promises written and dated

E. The festive deal scorecard

Score each offer 0-2 per row (2 = best for you). Highest total wins; ties broken by whichever dealer put the most in writing.

Criterion	0 points	1 point	2 points
Cash discount	None	Modest	Strongest quote you have seen for the model
Fees	Junk charges present	Some, removed on asking	Clean statutory-only invoice
Insurance	Forced dealer policy	Dealer policy, matched market	Free choice, price-equivalent credit
Loan	Showroom finance only, EMI-speak	Competing sanction in hand	Beat your bank's sanction
Exchange	Valuation bundled into deal	Separate, after price fixed	No exchange / open valuation
Delivery date	Vague, 'around Diwali'	Verbal date	Written date with delay terms
Accessories	Inflated kit	Basic kit free	Cash-equivalent instead of kit

G. Ten questions to ask before any signature

- 1 May I have the full on-road quote in writing, itemised line by line?
- 2 Which of these charges are statutory, and on what basis are the others levied?
- 3 What is the exact waiting period for this variant and colour - and will you write it on the booking form?
- 4 Under what terms is my booking amount refundable, and within how many days?
- 5 What is the IDV and add-on set on this insurance quote - and am I free to buy own-damage elsewhere?
- 6 What is the interest rate, processing fee and foreclosure charge on this loan - versus my bank's sanction?
- 7 What exactly does the extended warranty cost at the standard published price, and can I buy it later?
- 8 If delivery slips past the written date, what compensation or cancellation terms apply?
- 9 Is this a 2026-manufactured unit - may I see the door-pillar manufacture date?
- 10 Will every promised freebie be printed on the invoice or booking form, with your signature?

F. Your first year with the car: a calendar

When	What to do
Delivery day	PDI complete and photographed; all documents in one folder (physical + cloud); insurance helpline saved in your phone
Within 2-6 weeks	RC arrives - verify every field; report errors to the dealer/RTO immediately
Month 1-2	Running-in discipline (no full throttle, vary revs); first tankfuls from a trusted pump; note actual fuel efficiency
First service (typically 1 month / 1,000 km)	As per manual - mostly inspection; keep the invoice; start the service-record file
Around first anniversary	PUC certificate as applicable in your state; own-damage renewal with NCB intact - compare three insurers on the same IDV 30 days before expiry
Year 1, ongoing	Tyre pressure check monthly (adds real fuel economy); challans and FASTag balance on the monthly calendar
Any time the loan closes	Closure letter + Form 35; hypothecation removed from the RC

SECTION 15 | ONE PAGE TO PHOTOGRAPH BEFORE YOU WALK INTO A SHOWROOM

The Fifteen Numbers

Number	What it is
18%	GST on small cars (petrol/CNG up to 1,200 cc, diesel up to 1,500 cc, under 4 m) since 22 Sept 2025
40%	GST on mid-size and large cars, SUVs/MUVs/MPVs above 1,500 cc and 4 m - no cess anymore
5%	GST on electric cars - retained under GST 2.0
1%	TCS the dealer collects if the car's value exceeds Rs. 10 lakh - claim it back in your return
6-22%	Road tax range across states, on the ex-showroom price
3 years	Mandatory third-party insurance that ships with every new private car
20% to 50%	No Claim Bonus on your own-damage premium, one to five claim-free years
90 days	Lapse the policy beyond this and the NCB dies
Rs. 1,000 / Rs. 2,000	Compulsory deductible: engines up to 1,500 cc / above
20%+	Down payment to aim for, so the loan never exceeds the car's depreciation curve
5 years	Maximum sensible tenure - every year beyond it costs about Rs. 20,000-28,000 more per Rs. 8 lakh borrowed
10-15%	Of take-home pay: the EMI ceiling that keeps the car from owning you
38-40 days	Dealer PV inventory this festive season (vs 21 healthy) - your negotiating leverage on most brands
Rs. 50,000-3 lakh	The festive discount range across models in Oct-Nov 2026
40-50%	What a five-year-old mass-market car typically retains of its on-road price

Every one of these numbers is explained, sourced and worked through in the section this page condensed them from. Photograph it, keep it on your phone, and walk into the showroom with the

facts in your pocket.

SECTION 14 | A FIRST-TIMER'S GLOSSARY OF EVERY TERM IN THIS BOOK

Speak the Language

Term	What it actually means
Ex-showroom price	Manufacturer's price including GST; excludes road tax, registration, insurance and everything else.
On-road / drive-away price	What actually leaves your account: ex-showroom + road tax + registration + insurance + FASTag + anything else.
Road tax / MV tax	State levy on ex-showroom price, mostly one-time; 6-22% depending on state and car.
TCS (Section 206C(1F))	1% tax the dealer collects on cars valued above Rs. 10 lakh; recoverable as credit when you file your return.
Third-party (TP) cover	Mandatory insurance for injury/death and third-party property damage you cause; new cars carry 3 years of it.
Own damage (OD) cover	Covers your own car against accident, fire, theft and calamities; annual; buyable from any insurer.
IDV	Insured Declared Value - the car's agreed value, the maximum the insurer pays on theft or total loss. Check it on every quote.
NCB (No Claim Bonus)	Discount on your OD premium for claim-free years: 20% after one, up to 50% after five. Belongs to you, transfers to your next car.
Zero-depreciation add-on	Waives the depreciation deducted on replaced parts in a claim - the single most valuable add-on for a new car.
Deductible / excess	The part of each claim you pay. Compulsory: Rs. 1,000 (engine up to 1,500 cc) / Rs. 2,000 above. Voluntary excess cuts your premium.
Hypothecation	The lender's name on the RC while the loan runs; removed with the bank's Form 35 + NOC after closure.
RC (Registration Certificate)	The car's legal identity; issued via VAHAN; verify every field when it arrives.
HSRP	High Security Registration Plate - laser-coded plate issued with registration.
PUC	Pollution Under Control certificate; periodic emissions test required from around the first anniversary.
PDI	Pre-delivery inspection - the checklist in Section 10, done before you sign and drive.
Bharat NCAP	India's crash-test star rating (bncap.in): adult protection, child protection and safety assists; tests at 64 km/h frontal, 50 km/h side.
CIBIL / CIC score	Your 3-digit credit score (300-900); above 750 gets the best car-loan rates; each lender prices by tier.
Fixed vs floating rate	Fixed stays constant through the tenure; floating tracks a benchmark (repo-linked) and moves with RBI decisions.
Foreclosure charges	Penalty for closing the loan early - 0-6% depending on lender and timing; the sleeper trap in Section 7.
LTV (loan-to-value)	Share of the on-road price the lender finances; the rest is your down payment.

One last thing

The festive season is designed to make you feel that celebrating means buying, and that buying means now. The auspicious date matters; the paperwork matters more. Walk in with your three quotes, your fee audit, your own sanction and your written promises - and you will drive out with both a new car on a good muhurat and the quiet certainty that you paid less than the person who walked in before you.

Sources and verification (as of late September 2026)

Official sources: GST Council / Press Information Bureau press release and GST 2.0 FAQs (Sept 2025) for car GST rates; Income Tax Department (incometaxindia.gov.in) for TCS under Section 206C(1F); IRDAI motor insurance policyholder handbook and guidance for third-party, IDV, NCB and deductible rules; PM E-DRIVE scheme portal (Ministry of Heavy Industries) and PIB releases (Feb & July 2026) for EV incentive coverage; Bharat NCAP (bncap.in) for crash-test ratings and protocols; FADA August 2026 retail data; SIAM August 2026 wholesale data.

Market and rate reporting: The Economic Times, Zee Business, CNBC-TV18 and Business Standard, September 2026, for festive inventory, discount ranges and September registration trends; Paisabazaar and BankBazaar lender-rate compilations dated 16-18 September 2026 for car loan rates and fees; state transport department notifications and state EV policies for road tax; consumer commission rulings (Chandigarh State Commission, 2017; Ernakulam District Forum, 2014) on handling/logistics charges.

What changes and how to re-check: car loan rates move monthly - re-confirm with the lender before signing; state EV road-tax policies changed several times in 2026 - verify with your state transport department; festive offers change weekly during the season. EMI figures are rounded illustrative calculations. This playbook is general consumer education, not financial, legal or tax advice for your specific situation.